

vengeanceaiUSCMODEL18.0 — Assumptions List

Ticker: FICO. Plain list only (no charts). Each item includes What / How / Why / Source. Download URL: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel18-d3ac/FICO/output/MODEL18_FICO_ASSUMPTIONS_LIST.pdf

MODEL17 rated 7.0/10. MODEL17 flaws affecting CF→DCF: (a) full-year FY1 FCFF still in XNPV while valuation is mid-stub (overstates PV); (b) SBC path starts at 8.25% and penalizes Scores price-ups that need little incremental grant cost; (c) SaaS/Platform mix shift +250 bps understates Q3 Platform ARR +62% / SaaS +21% Deferred cash; (d) CapEx path still slightly taxes coupon cash. IS interest grows with levered buyback debt but FCFF correctly starts at EBIT — not a double-count. Equity=A–L–RE is BS identity, not a soft plug. MODEL18 keeps Yacktman-adj CAPM 7.68% (D6←R15) and adds stub-period Y1 FCFF scaling + grounded SBC + faster SaaS mix. Exit BASE 23.0x; g 3.5%; peer median ~18.1x.

Updated temporal discounting from Model17 (Previous: D9=hist FYE 2025-09-30; full-year Y1 FCFF at mid-year EDATE) to Model18 (New: valuation date 2026-08-06; FY stub start 2026-03-30; 129/365 elapsed = 35.34%; Y1 FCFF × 64.66% remaining; E18 = mid-stub 2026-12-02 = D9+118d; Y2–Y5 midpoints via EDATE from stub FY calendar). Only cash yet to occur is valued.

CAPM sources: <https://fred.stlouisfed.org/series/DGS10>; <https://finance.yahoo.com/quote/FICO/key-statistics/>.

Yacktman lens (MODEL17 rated 7.0/10): MODEL17 flaws affecting CF→DCF: (a) full-year FY1 FCFF still in XNPV while valuation is mid-stub (overstates PV); (b) SBC path starts at 8.25% and penalizes Scores price-ups that need little incremental grant cost; (c) SaaS/Platform mix shift +250 bps understates Q3 Platform ARR +62% / SaaS +21% Deferred cash; (d) CapEx path still slightly taxes coupon cash. IS interest grows with levered buyback debt but FCFF correctly starts at EBIT — not a double-count. Equity=A–L–RE is BS identity, not a soft plug. MODEL18 keeps AAA-coupon β (0.854), grounds SBC, accelerates Platform/SaaS Deferred cash, and discounts only the remaining stub. Every WACC term is algebraic — no naked hardcoded discount rate.

WACC unchanged vs Model17 algebra: Yacktman-adj CAPM 7.68% (D6=R15). $\beta_{\text{Blume}}=(2/3)\times 1.32+(1/3)\times 1.0=1.213$; $\beta_{\text{AAA}}=0.70$; $\beta_{\text{Yacktman}}=0.30\times\beta_{\text{Blume}}+0.70\times\beta_{\text{AAA}}=0.854$; $K_e=R_f(4.67\%)+\beta\times\text{ERP}(4.28\%)=8.33\%$; $R_d_{\text{at}}=6.250\%\times(1-18.77\%)=5.08\%$; $\text{WACC}=80\%\times K_e+20\%\times R_d_{\text{at}}=7.68\%$. No naked hardcoded discount rate. Sources: <https://finance.yahoo.com/quote/FICO/key-statistics/>; <https://www.jstor.org/stable/2329867>; <https://fred.stlouisfed.org/series/DGS10>;

<https://www.sec.gov/Archives/edgar/data/814547/000119312526117936/d56220d8k.htm>.

Exit unchanged vs Model17 (BASE 23.0x; Bull 27.0x / Bear 17.0x).

DSO path unchanged vs Model17 (97→28d). Op NWC = AR+Inv–AP ONLY. + Δ Deferred is a SEPARATE CFO/FCFF source. No AR/unearned double-count. Source:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Scores OM $\approx$ 91% (IR <https://investors.fico.com/static-files/66ef723c-1f2e-4501-a452-ab2f3d02ae85>). GM_B2B 97% unchanged vs Model17. Q3 Platform ARR \$413M (+62%) / Software ARR \$816M (+10%) (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>; transcript <https://stockanalysis.com/stocks/fico/transcripts/656443-q3-2026/>).

Deferred = Rev × (SaaS%+OnPrem%) × (FY25 Def/FY25 soft Rev); + Δ Deferred in CFO row 81. Faster SaaS mix (+300 bps/yr) raises Deferred cash vs Model17 (+250). Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

TOTAL D&A; $\approx$ 0.84% of Rev. SBC is a SEPARATE add-back — no double-count.

Updated SBC from Model17 (Previous: fade 8.25% / 7.80% / 7.40% / 7.00% / 6.60%) to Model18 (New: fade 7.00% / 6.50% / 6.00% / 5.50% / 5.00%). Treat SBC with suspicion but not so hard that royalty price-ups are taxed 1:1 with grants. Source: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>; Scores pricing <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>.

Shares unchanged vs Model17 (21,597.635k @ \$1,149 post–Q3). SBC add-back does NOT dilute; Y1 share reduction uses stub-scaled equity CF (64.66% of year).

Updated CapEx from Model17 (Previous: 1.00% → 0.85% → 0.70% → 0.55% → 0.40%) to Model18 (New: 0.85% → 0.70% → 0.55% → 0.45% → 0.35%) — Scores coupons need ~0 CapEx; Platform is mostly cloud opex not PPE.

Margins unchanged vs Model17 (COGS –120 / SG&A; –175 / R&D; –50; floor 8%; GM_B2B 97%).

Keep cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). Book ETR ~18.8% used in CAPM $R_d(1-T)$.

Buybacks unchanged vs Model17 (1.40×(CFO–CapEx); debt funds MULT–1). Q3 FY2026 buybacks \$1960M vs FCF \$370.3M (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>).

Equity = Assets – Liab – RE every year (accounting identity, not a soft plug). Liab = AP + Debt + Deferred. Row-3 OK; cash check $\approx$ 0.

Primary filings hub: <https://investors.fico.com/financial-information/sec-filings> — segmentation from FY2025 10-K (<https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>; IR <https://investors.fico.com/static-files/663245db-39a2-4db7-8f89-284034bbccbf>). Deferred/contract liabilities: Q1 FY2026 10-Q detail (<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>).

A. Three-Statement Forecast Assumptions

Row 7: Revenue Growth

What it is: Year-over-year % increase in revenue for each forecast year.

How set in model: Yellow POLICY input: 30.0% / 18.0% / 14.5% / 11.0% / 8.5%.

Why this choice: Revenue growth path unchanged vs Model17 (30%/18%/14.5%/11%/8.5%). DCF applies stub scaling to Y1 FCFF only — 3S still builds a full fiscal year for BS integrity.

Source: SEC EX-99.1 Q3 FY2026 — Scores +41% / B2B +49%; FY2026 guidance

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

Row 8: COGS % of Revenue

What it is: Cost of revenues as a % of sales (gross margin = 1 – this).

How set in model: Excel: MAX(8%, segment blended COGS base=12.98% – 120bps × year).

Why this choice: MODEL18 Yacktman: Margins unchanged vs Model17 (COGS –120 / SG&A; –175 / R&D; –50; floor 8%; GM_B2B 97%). Mix % offset within Total Revenue (not a second revenue stack).

Source: SEC 10-K FY2025 — Scores +\$249M YoY 'primarily attributable to a higher unit price'

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 9: SG&A; % of Revenue

What it is: Operating opex (SG&A;) as % of sales.

How set in model: Equation: MAX(14%, (I28 – 10,922)/I24 – 175bps × year). Strips FY25 restructuring; then –1.75% of sales each year.

Why this choice: SG&A; unchanged vs Model17 (–175 bps/yr, floor 14%) — Scores near-100% incremental margins.

Source: SEC 10-K FY2025 — SG&A; + Scores pricing commentary

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 10: R&D; % of Revenue

What it is: Research & development expense as % of sales (IS label: R&D;, not Rent).

How set in model: Excel: MAX(7%, I29/I24 – 50bps × year).

Why this choice: R&D; unchanged vs Model17 (–50 bps/yr, floor 7%) — royalty price dollars do not require 1:1 R&D;.

Source: SEC 10-K FY2025 — Research and development

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 11: D&A; % of Revenue

What it is: Total depreciation & amortization as % of sales (software-industry driver).

How set in model: Yellow POLICY input: flat 0.84% (3yr FY23–25 avg TOTAL D&A;). Forecast DA\$ = Revenue × DA%; CF row 63 adds it back once.

Why this choice: MODEL18: TOTAL D&A; ≈ 0.84% of Rev. SBC is a SEPARATE add-back — no double-count.

Source: SEC companyfacts — DepreciationDepletionAndAmortization (+ AmortizationOfIntangibleAssets)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 12: Interest % of Debt Open

What it is: Interest expense as % of opening debt balance.

How set in model: Excel equation: I101/I98 (FY25 interest ÷ FY25 opening debt in schedule).

Why this choice: Approximates average coupon / cost of debt on the book. Debt stock follows the net debt issuance assumption (row 19).

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 13: Book Tax Rate (% of EBT)

What it is: Effective book tax rate applied to forecast EBT → Net Income.

How set in model: Excel equation: I35/I33 (FY25 tax ÷ simplified FY25 EBT in this template).

Why this choice: Book rate (~19%) remains on the income statement. DCF unlevered cash taxes use a separate cash tax rate (22.87% = 3yr IncomeTaxesPaidNet/EBT). Keep cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). Book ETR ~18.8% used in CAPM Rd(1-T).

Source: SEC 10-K FY2025 — tax expense; cash taxes from IncomeTaxesPaidNet

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 15: DSO — Accounts Receivable (Days)

What it is: Days Sales Outstanding. $AR = Revenue \times DSO / 365$.

How set in model: Yellow POLICY path: phases 97d (FY25 hist) → 28d over 5 years (Y1=83.2d ... Y5=28d). Segment blend ref ≈ 27.5d on schedule row 115 (SaaS 40/B2C 2/B2B 25/PS 12/On-prem 40).

Why this choice: DSO path unchanged vs Model17 (97→28d). DSO path unchanged vs Model17 (97→28d). Op NWC = AR+Inv-AP ONLY. +ΔDeferred is a SEPARATE CFO/FCFF source. No AR/unearned double-count. Source: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>. Deferred = Rev × (SaaS%+OnPrem%) × (FY25 Def/FY25 soft Rev); +ΔDeferred in CFO row 81. Faster SaaS mix (+300 bps/yr) raises Deferred cash vs Model17 (+250). Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-K FY2025 — AR; Q1 FY2026 deferred detail (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 16: Inventory (Days)

What it is: Inventory days (Inv = COGS × days/365).

How set in model: Hard zero — FICO is software / scores; inventory is immaterial.

Why this choice: No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ \$0

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 17: DPO — Accounts Payable (Days)

What it is: Days Payable Outstanding. $AP = COGS \times DPO / 365$.

How set in model: Excel equation: ROUND(I48/I25×365, 0) from FY25; held flat.

Why this choice: MODEL18: DPO pairs with phased DSO for Op NWC = AR+Inv-AP. Deferred is a SEPARATE CFO cash source (row 81) — never mixed into AR/DPO.

Source: SEC 10-K FY2025 — Accounts payable

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 18: CapEx % of Revenue

What it is: Capital investment (PPE + capitalized software) as % of sales.

How set in model: Yellow POLICY path: 0.85% / 0.70% / 0.55% / 0.45% / 0.35% (fade with operating leverage).

Why this choice: MODEL18 Yacktman: Updated CapEx from Model17 (Previous: 1.00% → 0.85% → 0.70% → 0.55% → 0.40%) to Model18 (New: 0.85% → 0.70% → 0.55% → 0.45% → 0.35%) — Scores coupons need ~0 CapEx; Platform is mostly cloud opex not PPE.

Source: SEC 10-K / companyfacts — PPE purchases + capitalized software; fade to maintenance

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 19: Debt Issuance (Repayment)

What it is: New borrowing (+) or repayment (–) in the forecast (\$000s).

How set in model: Equation: $-(\text{CFO}-\text{CapEx}) - \text{EquityCF} = (1.40-1) \times \text{FCF}$ (debt funds buybacks above organic FCF).

Why this choice: MODEL18: Buybacks unchanged vs Model17 ($1.40 \times (\text{CFO}-\text{CapEx})$; debt funds MULT–1). Q3 FY2026 buybacks \$1960M vs FCF \$370.3M

(<https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>). Financing is excluded from FCFF.

Source: SEC EX-99.1 Q3 FY2026 — levered buybacks; companyfacts senior notes / LOC

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 20: Equity Issued (Repaid)

What it is: New equity issued (+) or buybacks (–) in the forecast BS/CF.

How set in model: Equation: $-1.40 \times (\text{CFO}-\text{CapEx})$ levered buybacks (hist 3yr avg $\approx$ \$881M/yr; Q3 FY26 >> FCF).

Why this choice: Buybacks unchanged vs Model17 ($1.40 \times \text{FCF}$); Y1 DCF share effect stub-scaled. Shares unchanged vs Model17 (21,597.635k @ \$1,149 post–Q3). SBC add-back does NOT dilute; Y1 share reduction uses stub-scaled equity CF (64.66% of year).

Source: SEC EX-99.1 Q3 FY2026 — buybacks vs FCF; 10-K FY2025 repurchase footnote

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 21: SBC % of Revenue

What it is: Stock-based compensation as % of sales; non-cash add-back in CFO and FCFF.

How set in model: Yellow POLICY fade path: 7.00% / 6.50% / 6.00% / 5.50% / 5.00% (starts at 3yr avg 7.00%).

Why this choice: MODEL18 Yacktmán: Updated SBC from Model17 (Previous: fade 8.25% / 7.80% / 7.40% / 7.00% / 6.60%) to Model18 (New: fade 7.00% / 6.50% / 6.00% / 5.50% / 5.00%). Treat SBC with suspicion but not so hard that royalty price-ups are taxed 1:1 with grants. Source: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>; Scores pricing <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>.

Source: SEC 10-K cash flow — ShareBasedCompensation (add-back only; no share dilution)

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 104: Mix % — SaaS / Platform software

What it is: Share of Total Revenue from SaaS / cloud software (incl. FICO Platform cloud).

How set in model: FY25 base 21.08% (SaaS \$419,720k / Total \$1,990,869k), then +300 bps/yr taken from on-prem. Platform ARR KPI \$263.6M is not additive IS revenue.

Why this choice: Updated SaaS mix shift from Model17 (Previous: +250 bps/yr) to Model18 (New: +300 bps/yr) — Q3 Platform ARR +62% to \$413M / SaaS +21%. Deferred → explicit CFO cash (row 81). Source: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/fico-20251231.htm>; EX-99.1 Q3 FY2026.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue / contract liabilities detail

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

Row 105: Mix % — B2C Subscriptions (myFICO)

What it is: Share of Total Revenue from B2C scoring / myFICO.com subscriptions.

How set in model: Yellow POLICY = 11.05% (FY25 B2C Scores \$219,980k / Total \$1,990,869k).

Why this choice: Near-zero DSO (card-settled consumer subscriptions). Minimal Deferred Revenue vs annual SaaS invoices. High incremental margin; WC-light cash conversion.

Source: SEC 10-K FY2025 — Scores segment B2C / myFICO disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 106: Mix % — B2B Scores

What it is: Share of Total Revenue from B2B scoring (mortgage, auto, card via CRAs).

How set in model: Yellow POLICY = 47.65% (FY25 B2B Scores \$948,595k / Total \$1,990,869k).

Why this choice: Transactional volume through Experian/TransUnion/Equifax; ~30-day DSO. Does not create SaaS-style Deferred Revenue (usage-based recognition).

Source: SEC 10-K FY2025 — Scores segment B2B disaggregation

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 107: Mix % — Professional Services

What it is: Share of Total Revenue from implementation / consulting / training fees.

How set in model: Yellow POLICY = 4.13% (FY25 PS \$82,149k / Total \$1,990,869k).

Why this choice: Upfront integration fees convert cash quickly (low DSO) but carry significantly lower gross margin than software/scores — pulls blended COGS up vs pure SaaS.

Source: SEC 10-K FY2025 — Software segment Professional services line

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 108: Mix % — On-Premises Software

What it is: Share of Total Revenue from on-premises license + maintenance software.

How set in model: Yellow POLICY = 16.09% (FY25 on-prem \$320,425k / Total \$1,990,869k).

Why this choice: With SaaS mix, drives Deferred Revenue (maintenance billed in advance). Same 45-day DSO policy as SaaS. Completes mix identity to 100% of Total Rev.

Source: SEC 10-K FY2025 — Software on-premises vs SaaS deployment table

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

B. DCF Assumptions

DCF-D5: Cash Tax Rate (unlevered)

What it is: Cash tax rate used for FCFF unlevered taxes and after-tax cost of debt.

How set in model: Yellow POLICY = 22.87% (3yr avg IncomeTaxesPaidNet ÷ EBT). NOT linked to book tax J13.

Why this choice: Keep cash tax 22.87% (3yr IncomeTaxesPaidNet/EBT). Book ETR ~18.8% used in CAPM Rd(1–T).

Source: SEC companyfacts — IncomeTaxesPaidNet / EBT

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

DCF-D6: WACC (Yacktman-adj CAPM — D6 = R15)

What it is: Weighted average cost of capital for XNPV of FCFF + TV.

How set in model: D6 = R15 ≈ 7.68% (same Yacktman-adj CAPM algebra as Model17 7.68%). Stub timing is separate (see DCF-D9). Rf/β/ERP/Rd inputs in Q6:R15 with clickable sources.

Why this choice: WACC unchanged vs Model17 algebra: Yacktman-adj CAPM 7.68% (D6=R15).

$\beta_{\text{Blume}} = (2/3) \times 1.32 + (1/3) \times 1.0 = 1.213$; $\beta_{\text{AAA}} = 0.70$; $\beta_{\text{Yacktman}} = 0.30 \times \beta_{\text{Blume}} + 0.70 \times \beta_{\text{AAA}} = 0.854$;

$\text{Ke} = \text{Rf}(4.67\%) + \beta \times \text{ERP}(4.28\%) = 8.33\%$; $\text{Rd}_{\text{at}} = 6.250\% \times (1 - 18.77\%) = 5.08\%$; $\text{WACC} = 80\% \times \text{Ke} + 20\% \times \text{Rd}_{\text{at}} = 7.68\%$. No

naked hardcoded discount rate. Sources: <https://finance.yahoo.com/quote/FICO/key-statistics/>;

<https://www.jstor.org/stable/2329867>; <https://fred.stlouisfed.org/series/DGS10>;

<https://www.sec.gov/Archives/edgar/data/814547/000119312526117936/d56220d8k.htm>.

Source: Blume 1971; FRED DGS10; Yahoo β; Damodaran ERP; SEC 8-K 6.250% Rd

Source URL: <https://fred.stlouisfed.org/series/DGS10>

DCF-D7: Perpetual Growth (g)

What it is: Long-run growth used only in the Gordon TV cross-check.

How set in model: POLICY input = 3.5% (unchanged vs Model17).

Why this choice: Long-run nominal GDP-like floor; primary TV uses exit multiple.

Source: Damodaran long-run growth framing

Source URL: https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html

DCF-D9/E26: Stub-period valuation date & Y1 FCFF scale

What it is: As-of date for XNPV and the fraction of Year-1 unlevered FCF that has not yet occurred.

How set in model: D9 = 2026-08-06; E18 = mid-stub; E26 = $0.646575 \times \text{full Y1 FCFF}$; Y1 share buybacks similarly stub-scaled.

Why this choice: Updated temporal discounting from Model17 (Previous: D9=hist FYE 2025-09-30; full-year Y1 FCFF at mid-year EDATE) to Model18 (New: valuation date 2026-08-06; FY stub start 2026-03-30; 129/365 elapsed = 35.34%; Y1 FCFF $\times$ 64.66% remaining; E18 = mid-stub 2026-12-02 = D9+118d; Y2–Y5 midpoints via EDATE from stub FY calendar). Only cash yet to occur is valued.

Source: Model stub calendar 3/30/2026→3/29/2027; valuation 8/6/2026

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

DCF-D8: Exit EV/EBITDA (BASE)

What it is: Terminal enterprise value multiple on Year-5 EBITDA.

How set in model: POLICY BASE 23.0x; Bull 27.0x; Bear 17.0x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median $\approx$ 18.11x.

Why this choice: Exit unchanged vs Model17 (BASE 23.0x; Bull 27.0x / Bear 17.0x).

Source: VCP Scanner FICO peer EV/EBITDA comps + Yacktman premium

Source URL: <https://vcpscanner.com/valuation/fico/relative>

DCF-D13/D14: Debt & Cash (equity bridge)

What it is: Gross debt and cash+marketable securities for EV → equity.

How set in model: Latest 10-Q bridge totals (more current than FY25 3S balances).

Why this choice: Bridge should reflect the latest capital structure; 3S FY25 shown as reference.

Source: SEC 10-Q — Fair Isaac Corp

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000016/fico-20250331.htm>

DCF-D12/I16: Shares Outstanding (buyback-adjusted)

What it is: Starting shares (D12 $\approx$ 21,597.6k post-Q3 @ \$1,149) fall each year with $1.4 \times \text{FCF}$ buybacks (3S equity CF / price). SBC is added back in FCFF but does NOT increase shares — avoids double penalty. \$/share uses Y5 shares (I16).

How set in model: D16=\$D\$12; E16:I16 = MAX(1000, prior + $3SI\{J-N\}20 / \$D\11); D37=\$D\$35/\$I\$16.

Why this choice: Shares unchanged vs Model17 (21,597.635k @ \$1,149 post-Q3). SBC add-back does NOT dilute; Y1 share reduction uses stub-scaled equity CF (64.66% of year).

Source: EX-99.1 Q3 FY2026 — shares $\approx$ 21,597.6k @ \$1,149; FY25 buybacks \$1.415B

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

DCF-E25: Net WC investment (ΔOpNWC – $\Delta \text{Deferred}$)

What it is: FCFF subtracts Δ Operating NWC (AR+Inv–AP) and adds Increase in Deferred Revenue. AR and Deferred are strictly separated.

How set in model: DCF E25:I25 = $3SI\{J-N\}90 - (3S \text{ Def}_t - \text{Def}_{t-1})$. Equivalent to $-\Delta \text{OpNWC} + \Delta \text{Deferred}$ inside UFCFF.

Why this choice: DSO path unchanged vs Model17 (97→28d). Op NWC = AR+Inv–AP ONLY. + $\Delta \text{Deferred}$ is a SEPARATE CFO/FCFF source. No AR/unearned double-count. Source:

<https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>. Deferred = Rev $\times$ (SaaS%+OnPrem%) $\times$ (FY25 Def/FY25 soft Rev); + $\Delta \text{Deferred}$ in CFO row 81. Faster SaaS mix (+300 bps/yr) raises Deferred cash vs Model17 (+250). Detail: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>.

Source: SEC 10-Q Q1 FY2026 — Deferred revenue roll-forward (R45)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000011/R45.htm>

This PDF is the canonical printable assumptions list for the workbook. Filings and data sources remain clickable in Excel columns U/V; column W on every assumption row links back to this file.